

Journal of Financial Crises

Volume 7 | Issue 2

2025

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Recommended Citation

Decker, Bailey (2025) "Ecuador: National Bank Holiday, 1999," *Journal of Financial Crises*: Vol. 7 : Iss. 2, 108-142.

DOI: <https://doi.org/10.17132/2693-3179.1651>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss2/5>

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Ecuador: National Bank Holiday, 1999¹

*Bailey Decker*²

Yale Program on Financial Stability Case Study
June 25, 2025

Abstract

After a series of exogenous shocks hit Ecuador's economy in 1997 and 1998, foreign creditors reduced external credit lines to the country, draining liquidity. The newly created Deposit Guarantee Agency (Agencia de Garantía de Depósitos, AGD) administered deposit insurance and a new blanket guarantee and had the authority to resolve failing banks. Despite these actions, bank runs continued. After depositors reportedly withdrew USD 400 million from banks over a two-week period, on Monday, March 8, 1999, one hour before banks were supposed to open, the bank superintendent declared a surprise bank holiday effective that day; banks reopened a week later on, March 15, 1999. On Thursday, March 11, the president and finance minister announced a one-year partial freeze on different types of deposits (demand, savings, time), repurchase transactions, and mutual funds. The freeze significantly contracted liquidity and virtually halted all financial activity. Runs and bank failures continued throughout 1999, and the government adopted the US dollar as Ecuador's official currency in early 2000 to stabilize the system and prevent hyperinflation. The government gradually unfroze many accounts earlier than planned, including savings and checking deposits. In November 1999, the Constitutional Tribunal declared account freezes unconstitutional. In early 2000, the government proposed a schedule for unfreezing time deposits, starting in mid-March. The central bank later said that the holiday and deposit freezes had failed to restore confidence in the banking system.

Keywords: bank holiday, blanket guarantee, deposit freeze, deposit insurance, Ecuador

¹ This case study is part of the Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering bank holiday and fund suspension programs. A survey of all the cases in this series (Wiggins et al. 2025) and the cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/>.

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Overview

This case study is about Ecuador's broad-based bank holiday and partial deposit freeze in 1999. The government also issued a blanket guarantee, see (Decker 2022).

In April 1998, the board of Ecuador's bank regulator, the Banking Board of the Superintendency of Banks, decided to close a medium-size institution called Solbanco. This closure triggered Ecuador's banking crisis, as it precipitated deposit runs throughout the system, including on two of Ecuador's three largest banks (Dow Jones 1998a; Jácome H. 2004; Republic of Ecuador 2000c).

When the Banking Board decided to close Banco de Préstamos in September 1998, Ecuador's existing limited deposit insurance scheme could not sufficiently cover payouts (Jácome H. 2004; Naranjo 1998; Republic of Ecuador 2000c). The deposit insurance scheme covered only small savers (up to about USD 8,000 for domestic and foreign currency deposits), after a delay, and with haircuts reflecting the depreciation of the sucre. There followed a flight to quality in the autumn of 1998, as sucre deposits shifted to US dollar deposits (Jácome H. 2004; Republic of Ecuador 2000c).

On December 1, 1998, the Ecuadorian government created the Deposit Guarantee Agency (Agencia de Garantía de Depósitos, AGD) to administer deposit insurance; the AGD also administered the blanket guarantee and had the authority to resolve troubled banks (El Telégrafo 2014; Jácome H. 2004; Republic of Ecuador 2000c). At the same time, the government announced a blanket guarantee of all onshore and offshore deposits in addition to external credit lines of the banking system (Republic

Key Terms

Purpose: To "preserve the stability of bank reserves, limit the withdrawals that could [affect] the domestic financial system, and avoid pressure on the currency and the continued rise in prices" (AP 1999)

Announcement Date	Bank holiday: March 8, 1999; Deposit freeze: March 11, 1999; effective March 15, 1999
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End Date	Banks reopened March 15, 2000; Deposit freeze: Originally set to end in mid-March 2000, but ended earlier for most types of deposits; time deposits were repaid over time, starting in March 2000, in cash and long-term company bonds
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Legal Authority	National Security Law No. 275/79, Executive Decree No. 685, Regulations 015 and 016
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Administrators	Banking Board, Ministry of Finance
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Communication and Disclosure	Surprise announcement on television one hour before opening
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Treatment of Depositors or Investors	All deposits were frozen for one year, except depositors could withdraw up to 50% from all checking accounts and sucre-denominated savings accounts; sucre-denominated checking account holders had access to up to ECS 2 million (about USD 300) in cash;
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(continued)

of Ecuador 2000a) (for a case study dedicated to Ecuador’s blanket guarantee, see Decker [2022]).

The legislation establishing the AGD also eliminated the income tax (El Telégrafo 2014). However, the new Law for Economic Transformation imposed a 1% tax on all financial transactions (for example, cashing a check, currency exchange) to substitute the income tax and support public finances (Dow Jones 1998b; Jácome H. 2004; Republic of Ecuador 2000c).³

Demand deposits in the banking system fell by 17% in January 1999 (Jácome H. 2004). The ongoing liquidity crunch and capital flight made it difficult for Ecuador’s institutions to access the interbank market (Republic of Ecuador 2000c). By February 1999, liquid banks had stopped lending to weaker banks, thus excess liquidity from the former was redirected to one-day Central Bank of Ecuador (Banco Central del Ecuador, BCE) securities with interest rates over 110% (Republic of Ecuador 2000c). Bank runs continued (Catan and Alvaro 1999; Newsome and Lapper 1999b). The depositors reportedly withdrew USD 400 million from banks over a two-week period, and the Ecuadorian sucre (ECS) lost one-quarter of its value in the first week of March (BBC 1999b; Republic of Ecuador 2000c).

On March 8, 1999, one hour before banks were supposed to open, Bank Superintendent Jorge Egas declared a surprise bank holiday effective immediately to “preserve the stability of bank reserves, limit the withdrawals that could [affect] the domestic financial system, and avoid pressure on the currency and the continued rise in prices” (AP 1999). Banks reopened one week later, on March 15, 1999 (BBC 1999a; IMF 2000a).⁴ During this time, rumors swirled that the government was also considering a deposit freeze and might seize dollar-denominated bank accounts even after the bank holiday ended (Catan and Alvaro 1999).

Treatment of Depositors or Investors <i>(continued)</i>	all depositors could receive exchangeable certificates of reprogrammed deposits (CDRs) to access their funds at a discount; the freeze ended quickly for at-risk depositors
Outcomes	The bank holiday halted all activity for one week, but the runs resumed when the banks reopened under the partial freeze, significantly contracting liquidity and virtually halting all financial activity
Notable Features	CDRs allowed depositors to access their funds at a discount for large purchases; the bank holiday followed the implementation of a blanket guarantee under a new Deposit Guarantee Agency and an unpopular 1% tax on all financial transactions; later, Congress declared the account freezes unconstitutional

³ In October 1999, Ecuador had collected ECS 509.9 billion (USD 28.6 million) in revenue from the financial transactions tax, according to the Ministry of Finance (Alvaro 1999c).

⁴ Contemporaneous news sources differ on whether the holiday was initially announced as a one- or two-day closure, but all sources agree that the holiday was extended multiple times from Monday, March 8, through Monday, March 15, 1999 (BBC 1999a; Catan and Alvaro 1999; Dow Jones 1999c; IMF 2000a).

On March 10, 1999, President Jamil Mahuad declared a state of mobilization for 60 days to address the economic and social turmoil. He also indicated that the military would give “all necessary support” to Ecuador’s oil industry in the face of trade union strikes that threatened oil production, which Interior Minister Vladimiro Alvarez communicated publicly (CNN 1999; Dow Jones 1999c, 1). While the government could prohibit all gatherings that threatened public order, citizens’ rights would still be respected, according to Alvarez (CNN 1999).

On March 11, a local news outlet reported that the Ecuadorian Private Banks Association had defied the official bank holiday and authorized its members to unfreeze over 500 automated teller machines. The bankers reportedly argued that they could not withhold liquidity from their customers; by reopening the machines, the bankers tried to pressure the government to find a fast solution (BBC 1999b).

Also on March 11, 1999, the president and finance minister announced a one-year partial freeze of different types of deposits (demand, savings, time), repurchase (repo) transactions, and mutual funds (collectively, “the partial freeze”), which prompted depositors to withdraw ECS 1.7 trillion (USD 187.8 million)⁵ when banks reopened, according to the BCE (see Key Design Decision No. 11, Exit Strategy) (BCE 1999; Beckerman and Solimano 2002; Deveney 1999; Republic of Ecuador 1999, no. 685; Republic of Ecuador 2000c). Ecuador had USD 8.6 billion in total deposits at the time, according to Reuters (Reuters 1999a). President Mahuad also announced new measures to verify bank solvency, which included independent audits of the banking system, publicized results, and the involvement of the newly created AGD in bank resolution (Beckerman and Solimano 2002; IMF 2000b; Republic of Ecuador 2000a; Republic of Ecuador 2000c). The president announced that depositors could obtain certificates of reprogrammed deposits (CDRs), which were negotiable claims on their accounts that depositors could use for certain transactions (see Key Design Decision No. 8, Treatment of Depositors or Investors) (Beckerman and Solimano 2002; BBC 1999a; Jácome H. 2004). In issuing a regulation to this effect on March 16, 1999, the Ministry of Finance said that fund managers and investment trusts could issue CDRs (Republic of Ecuador 1999, no. 014).

By April 1999, the government unfroze the deposits of those over 65 years old, those with a terminal illness, foreign depositors, and accounts belonging to nongovernmental organizations and public institutions (Republic of Ecuador 2000c).

Frozen accounts comprised 33.3% of total deposits in the financial system as of June 30, 1999. The freeze significantly contracted liquidity and virtually halted all financial activity (Republic of Ecuador 2000c).

⁵ According to Bloomberg, USD 1 = ECS 11,542 on March 11, 1999.

On September 30, 1999, Ecuador became the first country to ever default on its Brady bonds⁶ after it failed to make a USD 98 million interest payment. Ecuador owed USD 6 billion to bondholders in total (Crenson 1999).

From April to December 1999, the government unfroze USD 465 million of demand and savings deposits (3.1% of GDP in 1999) in onshore and offshore accounts. This led to further runs across about one-third of Ecuador's banking system. The government then injected capital into open and closed banks, issuing USD 1.4 billion in bonds, which recipient banks used for liquidity (Beckerman and Solimano 2002; Republic of Ecuador 2000a; Republic of Ecuador 2000c).

The Constitutional Tribunal⁷ declared account freezes unconstitutional on November 8, 1999. By the end of 1999, the government had unfrozen virtually all checking and savings deposits, leaving time deposits and mutual fund holdings frozen (CFN 2007; Republic of Ecuador 2000c).

The market value of the sucre continued to fall during 1999 and fell to below 20,000 per US dollar at the end of 1999, two-thirds below its value of a year earlier (AFP 1999; Alvaro 1999c; EIU 2004). The dollarization of the financial system continued throughout 1999. As the sucre depreciated, the book value of dollar loans rose from 50% at the onset of the crisis to more than 90% near the end of 1999; dollar deposits rose to 73% of all deposits by the end of 1999 (IMF 2000b; Jácome H. 2004). On January 9, 2000, to stabilize the currency and head off fears of hyperinflation, Ecuador adopted the US dollar as its official currency at a conversion rate of ECS 25,000 per US dollar (EIU 2004; Republic of Ecuador 2000c). The transition from sucres to US dollars occurred between April and September 2000 (see Key Design Decision No. 2, Part of a Package) (EIU 2004). After dollarization, the AGD (and later the BCE) repaid deposits in US dollars. This represented a significant loss for sucre-denominated term depositors, since the exchange rate before the bank holiday was just 6,825 per US dollar; the ECS 25,000 rate one year later after dollarization represented a 73% loss from that rate (EIU 2004; National Congress of Ecuador 2014).

The government remained concerned that banks would have difficulty meeting depositors' demand for their time deposits when the freeze was set to lift in mid-March 2000. For that reason, the government announced on March 14, 2000, that time depositors would receive no more than USD 4,000 in cash, and the remainder in bonds (Beckerman and Solimano 2002; IMF 2000b). However, the attorney general, Juan Ramón Carbo, insisted that time deposits be paid fully in cash (Jácome H. 2004). Ultimately, time depositors in open and closed banks were treated differently—the government required open banks to repay depositors fully in cash, while depositors in closed banks managed by the AGD were to be paid mostly in AGD bonds (Republic of Ecuador 2000a). More than 90% of depositors

⁶ Brady bonds are sovereign debt securities with long-term maturities, denominated in US dollars and partially backed by US Treasury bonds. Starting in 1989, emerging market countries began to issue Brady bonds to restructure their debt following the Latin American debt crisis (Crenson 1999; Fed 1998).

⁷ The Constitutional Tribunal was the highest court in Ecuador at the time and had final authority on constitutional interpretation (Dow Jones 2007).

received the full value of their deposits by mid-2000, according to *The Economist* (EIU 2004). See Figure 1 for a timeline of Ecuador's broad-based interventions.

Figure 1: Timeline of Ecuador's Broad-Based Interventions

Date	Event
April 14, 1998	The Banking Board closes a medium-size bank, Solbanco, which leads to runs on other banks.
Sept. 1998	The Banking Board closes Banco de Préstamos, another medium-size bank.
Dec. 1, 1998	The government creates the AGD to restore stability in bank liabilities. The government announces a blanket guarantee.
March 8, 1999	The bank superintendent announces the surprise holiday.
March 11, 1999	The president and finance minister announce the partial freeze of withdrawals of deposits.
March 12, 1999	The BCE president and board of directors resign en masse in protest over the deposit freeze by the Ministry of Finance; however, they continue to hold their posts until Congress names replacements.
March 15, 1999	Banks reopen.
April 1999	The government unfreezes deposits for some disadvantaged groups.
Sept. 30, 1999	Ecuador becomes the first country to ever default on its Brady bonds.
Nov. 8, 1999	The Constitutional Tribunal declares the account freezes unconstitutional.
Jan. 9, 2000	Ecuador adopts the US dollar at ECS 25,000 per dollar, representing a devaluation of roughly three-quarters of the value of the sucre since the end of 1998.
March 13, 2000	The government begins to unfreeze time deposits and mutual fund shares, which banks have to pay out in cash.

Source: Author's analysis.

Summary Evaluation

The Economist Intelligence Unit, in a 2004 report on Ecuador, described the week-long bank holiday as a “desperate attempt to prevent further collapses” amid bank runs and closures (EIU 2004, 2).

One week after the bank holiday, President Mahuad said that the deposit freeze had been successful and would remain in effect until the financial system returned to stability: “For now, we cannot suspend the freeze because it has yielded results with regard to the price of the dollar and avoiding a large-scale withdrawal of deposits” (Quito Voz de los Andes 1999b).

BCE Governor Luis Ignacio Jácome H. and the board of directors resigned on March 12, 1999, to protest the partial freeze of deposits (Alvaro and Tedesco 1999; Republic of Ecuador 2000c). The board of directors had asked the president and finance minister to close several nonviable banks instead, which they chose not to do (Republic of Ecuador 2000c). After resigning, Governor Jácome and the board continued to hold their posts until Congress named their replacements (Alvaro 1999a). The BCE remained without a confirmed governor for months following the freeze (Beckerman and Solimano 2002).

In June 1999, the bank superintendent and general manager of the AGD also resigned (Dow Jones 1999b).

In its 1999 annual report, the central bank, under new management, said that the holiday and deposit freeze had not promoted confidence: “The national [bank] holiday and the freezing of bank deposits, decreed by the government in March, reflected the severity of the crisis, causing a further deterioration in agents’ confidence, thus exacerbating uncertainty” (BCE 2000, 11).

In an IMF working paper written after his resignation, former Governor Jácome says that the government implicitly acknowledged that its 1998 blanket guarantee did not succeed in stabilizing liabilities in the financial system by freezing deposits. While the partial freeze temporarily stopped the sucre’s fall and stabilized inflation, it hurt the functioning of the payment system which was responsible for a more than 7% decrease in GDP in 1999, according to Jácome (Jácome H. 2004).

Jácome also criticizes the lifting of the partial freeze without appropriate supports in place:

The gradual unlocking of deposits from mid-1999 and onward proved to be premature, and hence, it triggered a new wave of deposit withdrawals. In an atmosphere of increasing social unrest and in an effort to normalize the functioning of the payments system, the government started to gradually unlock deposits without assurances of appropriate liquidity safeguards in the banking system. Deposit withdrawals then picked up once again as a result of the lack of clear signals about economic stabilization and amidst recurrent rumors of new bank holidays. Moreover, renewed deposit withdrawals translated into an enhanced demand for intensifying the depreciation of the sucre. (Jácome H. 2004, 23)

In Jácome’s view, the delayed payouts imposed losses on depositors, prompting further contagion and deposit runs; the broad-based bank holiday and deposit freeze communicated the message that all banks were impaired, promoting a systemic lack of confidence. He also said the “devastating” tax on financial transactions accelerated financial institutions’ collapse during the midst of a liquidity crunch (Jácome H. 2004, 19). Jácome would have considered applying bank resolution mechanisms and tightening fiscal policies earlier, citing how relying on liquidity alone can lead to tangential damage to the economy (Jácome H. 2004).

In a paper published in the *Cambridge Journal of Economics*, Ave Maria University professor of economics Gabriel X. Martinez interviewed bankers, businesspeople, regulators, economics analysts, and authorities about Ecuador’s financial crisis. Some of Martinez’s interviewees said that regulators had conflicts of interest during the crisis “because of their connections with and dependence on the banking and political systems” (Martinez 2006, 573). After Ecuador’s financial liberalization, “nearly all” banking superintendents were well connected with the private sector (Martinez 2006, 571).

The IMF and other commentators argued that the financial transactions tax exacerbated Ecuador’s liquidity crunch when the government imposed it in early 1999 (IMF 2000b). *The*

Economist and Jácome argue that this tax effectively accelerated the financial collapse of various banks in the early months of 1999, including the largest bank in the system measured by deposits, Banco del Progreso. They also argue that the tax prompted depositors to withdraw their money from banks, thus undermining the blanket guarantee's goal of stabilizing bank liabilities (EIU 2004; Jácome H. 2004). However, the IMF said that the financial transactions tax later promoted stability by discouraging depositors from changing banks (IMF 2000b).

The IMF estimated the fiscal cost of Ecuador's crisis response, concluding that poor policy choices added "substantially" to this cost (IMF 2000b, 34). The IMF identified the following as policy measures that "backfired": the failure to decisively deal with Banco del Progreso, the 1% financial transactions tax, the blanket guarantee, and conflict of interest questions between regulators and the private sector (IMF 2000b, 26).

The IMF and others focused criticism on the government's November 1999 decree forcing banks to accept CDRs from any other banks, including closed banks, at par value (IMF 2000b). Bank borrowers could purchase CDRs at a discount from depositors and then use them to write off their existing bank debt at the par value of the CDRs, resulting in instant profits (El Telégrafo 2017). According to Jácome, thanks to this decree "vested private interests took advantage from the management of the crisis and made large and instantaneous profits" (Jácome H. 2004, 28–29). The IMF said that the decree resulted in the technical bankruptcy of a public development bank forced to buy CDRs (IMF 2000b). In an August 2000 letter to the IMF, the heads of the Ministry of Finance and central bank informed the IMF that CDR holders were required to redeem their CDRs with banks at market value, not par value, apparently signaling they had reversed the policy (Republic of Ecuador 2000c).

The IMF said that bank supervision by the Superintendency of Banks suffered because of frequent staff turnover, asserting that staff were "poorly trained, badly equipped, and lacked motivation in the absence of a clear mission" (IMF 2000b, 24). Supervisory staff also lacked legal protection which made them reticent to take disciplinary actions against banks. Additionally, the staff had no conflict of interest guidance (IMF 2000b).

Paul Beckerman, an economist at the World Bank, says that the government's override of the BCE in announcing the bank holiday and deposit freeze demonstrated the difficulty of maintaining central bank independence during the acute phase of a crisis. Beckerman acknowledges that the BCE's recent independence in 1998 was an unfortunate coincidence, as crisis conditions perhaps suggested that financial markets reflected uncertainties about BCE independence (BCE n.d.; Beckerman and Solimano 2002).

María Laura Patiño, a former BCE official, says that the partial freeze "exacerbated macroeconomic instability and threatened to trigger hyperinflation in a country victim to inertial inflation reaching the highest levels in Latin America" (Patiño 2001, 589–90). More broadly, she found the package of interventions to be costly:

In the end, state-intervention in the banking system has transplanted the costs of private

inefficiencies to the public sector. The banking system overhaul by the [AGD] depended exclusively on Ministry of Finance funding. At the time liquidity was unavailable, therefore, the resources were provided by the direct discount of public bonds in the [BCE] or, indirectly, by freezing deposits declared in 1999 after the bank holiday (Patiño 2001, 604).

Context: Ecuador 1999–2000	
GDP (SAAR, nominal GDP in USD)	\$19.6 billion in 1999
	\$17.5 billion in 2000
GDP per capita (SAAR, nominal GDP in USD)	\$1,575.3 in 1999
	\$1,382.2 in 2000
Sovereign credit rating (long-term debt)	Moody's: Caa1 in 1999
	S&P: Data not available in 1999
	Fitch: Data not available in 1999
	Moody's: Caa1 in 2000
	S&P: B- in 2000
	Fitch: Data not available in 2000
Size of banking system	\$4.9 billion in 1999
	\$4.9 billion in 2000
Size of banking system as a % of GDP	24.9% in 1999
	28.2% in 2000
Size of banking system as a % of financial system	83.1% in 1999
	88.9% in 2000
Five-bank concentration of banking system	Data not available in 1999
	70.4% in 2000
Foreign involvement in banking system	Data not available in 1999
	Data not available in 2000
Existence of deposit insurance	Yes in 1999
	Yes in 2000

Sources: Bloomberg; World Bank Deposit Insurance Dataset; World Bank Global Financial Development Database.

Key Design Decisions

- 1. Purpose: The bank superintendent declared a bank holiday to preserve stability, limit runs, and relieve pressure on the sucre and the rise in prices. The president and finance minister announced a one-year partial freeze on deposits at the end of the holiday to preserve public peace, protect liability holders, and protect Ecuador's international money reserve.**

In early 1999, an ongoing liquidity crunch and capital flight made it difficult for Ecuador's institutions to access funding on the interbank market. By February 1999, liquid banks had stopped lending to weaker banks, thus excess liquidity from the former was redirected to one-day central bank securities with interest rates of more than 110%. The central bank was paying high interest rates on its securities in an attempt to maintain the value of the sucre and sterilize the extraordinary monetary expansion that its liquidity support to banks had created (Jácome H. 2004; Republic of Ecuador 2000c).

Although the government had established the AGD in 1998 to guarantee deposits and close failing banks, its deposit guarantee lacked credibility because of the depth of the banking sector's problems and the government's own weak fiscal situation (Decker 2022; Jácome H. 2004). In early 1999, five small banks closed, and the liquidity crisis became acute at Banco del Progreso, one of the largest banks in the country measured by deposits, despite the substantial liquidity assistance the bank had already received from the CBE (IMF n.d.; Jácome H. 2004; Republic of Ecuador 2000c).

On March 8, 1999, one hour before banks were supposed to open, Bank Superintendent Jorge Egas declared a bank holiday to "preserve the stability of bank reserves, limit the withdrawals that could [affect] the domestic financial system, and avoid pressure on the currency and the continued rise in prices" (AP 1999). The holiday during which banks were entirely closed began on March 8, and banks reopened on March 15, 1999 (BBC 1999a; IMF 2000a; Republic of Ecuador 2000c). During this time, rumors swirled that the government was also considering a deposit freeze (see Key Design Decision No. 6, Communication and Disclosure) (Catan and Alvaro 1999).

On March 11, 1999, the president and the finance minister announced that the bank holiday would end on the upcoming Monday, March 15, but that it would be replaced with partial withdrawal freezes. All deposits were frozen for one year, except depositors could withdraw up to 50% from all checking accounts and sucre-denominated savings accounts (see Key Design Decision No. 7, Details of Suspension, Gates, or Fees) (Republic of Ecuador 1999, no. 685). In a speech, President Mahuad characterized the partial freeze as necessary to protect the value of the deposits, the currency, and the economy for all: "[The government has] the duty to put order in the withdrawal of the bank accounts. We have to protect our international monetary reserve. That reserve belongs to all Ecuadorians" (see Key Design Decision No. 6, Communication) (BBC 1999a).

On March 12, 1999, the BCE president and board of governors resigned to protest the partial deposit freeze (Alvaro and Tedesco 1999; Republic of Ecuador 2000c). The board of governors had instead asked the president and finance minister to close a number of nonviable banks (see Key Design Decision No. 4, Administration) (Republic of Ecuador 2000c, 57). Scholars characterize the president's and finance minister's decision on the holiday and partial freeze as an override of the BCE (Beckerman and Solimano 2002).

According to the IMF, the one-week bank holiday was also partially motivated by authorities' desire to allow time to find a solution for Banco del Progreso before its failure triggered a run (IMF 2000b; Jácome H. 2004). Jácome similarly says that the government imposed the partial deposit freeze to "[buy] time to clean up the banking system" (Jácome H. 2004, 22).

2. Part of a Package: The government declared a state of emergency during the bank holiday to address violent protests and strikes. The partial deposit freeze came with a one-year moratorium on repayment of loans by bank debtors. During the deposit freeze, the government also designed a multi-faceted bank restructuring strategy with help from the IMF.

The partial deposit freeze after the bank holiday was lifted came with a one-year moratorium on repayment of loans by bank debtors (BBC 1999a; Republic of Ecuador 1999, no. 685, art. 3(f)). During the deposit freeze, the government also designed a multifaceted bank restructuring strategy with help from the IMF (see Key Design Decision No. 9, Verification of Solvency) (IMF 2000b).

Over the longer crisis period, between late 1998 and early 2000, the government also provided liquidity support to the banking system, closed banks that held more than two-thirds of all deposits, issued a blanket guarantee of deposits and trade financing, revised the tax system, and dollarized the Ecuador sucre (BCE 2000; IMF 2000b; Republic of Ecuador 2000a; Republic of Ecuador 2000c).

Liquidity Support and Recapitalization

Throughout 1998, the BCE granted short-term liquidity to financial institutions through repo operations (Republic of Ecuador 2000c). The BCE was able to provide US dollar liquidity through currency auctions. The BCE conducted at least two currency auctions on March 15, 1999, selling USD 32.5 million at a mid-rate of ECS 9,837 per dollar during the first auction (Dow Jones 1999e).

Throughout the crisis, the BCE also provided liquidity support through bonds, and banks used this support to recapitalize and pay out guaranteed deposits (Beckerman 2006; Republic of Ecuador 2000c). The BCE sterilized 25% of its liquidity support by selling interest-bearing obligations to a small number of banks that had extra resources. The Treasury issued USD 1.4 billion in bonds for bank recapitalization (Beckerman 2006; Beckerman and Solimano 2002; Republic of Ecuador 2000c).

Deposit Insurance Reform and Blanket Guarantee

Before December 1998, the BCE administered a limited deposit insurance scheme for up to approximately USD 8,000 for domestic and foreign currency deposits, depending on the real exchange rate, since coverage was tied to an inflation-indexed unit. However, the existing limited deposit insurance scheme could not sufficiently cover payouts when Banco de Préstamos, the sixth-largest bank in terms of assets, was closed (Jácome H. 2004; Republic of Ecuador 2000c). There followed a flight to quality in the autumn of 1998, as sucre deposits shifted to US dollar deposits (Jácome H. 2004).

On December 1, 1998, the Ecuadorian government created the AGD to restore stability in bank liabilities (El Telégrafo 2014; Jácome H. 2004; Republic of Ecuador 2000c). At the same time, the government announced that it would guarantee all onshore and offshore deposits in addition to external credit lines of the banking system (Republic of Ecuador 2000a). The guarantee applied to most deposits with certain restrictions (Republic of Ecuador 2000c).

The guarantee did not cover deposits that were subject to any right of set-off (Republic of Ecuador 2000c). Language in the Law for Economic Transformation explicitly said that the guarantee would not cover deposits in offshore entities (National Congress of Ecuador 1998b). However, a bond prospectus dated August 23, 2000, stated that the AGD initially intended to guarantee offshore deposits. The guarantee was unlimited for trade financings of all lenders from December 1998 to March 2000 (Republic of Ecuador 2000c).

As of July 31, 2000, the AGD had USD 850 million in outstanding liabilities from guaranteed deposits, and the government had not yet determined how it would finance these obligations. In August, the government disclosed its intention to reduce coverage of deposits in phases, starting in March 2001, at which point the government would be in an extended schedule of unfreezing deposits (see Key Design Decision No. 11, Exit Strategy) (Republic of Ecuador 2000a; 2000c). For details of Ecuador's blanket guarantee, see (Decker 2022).

Debt Moratorium

On March 12, 1999, President Mahuad announced a debt moratorium in a public address; he said that the moratorium would give debtors of the banking system a “breath of fresh air” (BBC 1999a, 3). To this end, by Executive Decree 685, Mahuad extended by 365 days the maturities of obligations denominated in sucres, foreign currencies, and in unit of constant value (UVC)⁸ accounts (Republic of Ecuador 1999, no. 685, art. 3[f]).

Per Executive Decree 685, obligations of financial institutions affected by the moratorium accrued annual interest rates of 40% for sucres and 9% for US dollars, readjustable every 90 days in proportion to the variation that occurred in the referential passive rate published by the BCE in sucres, dollars, and UVC—except for liabilities that originated in current and savings account deposits (Republic of Ecuador 1999, no. 685, art. 6). Liabilities that originated in current and savings account deposits accrued an annual interest rate of 50% of

⁸ Created by the Securities Market Law, UVC was a monetary unit that was periodically readjusted for inflation such that it would not lose value as a currency over time (Giordano 1994).

other sucre-denominated liabilities and 40% of other US dollar-denominated liabilities (Republic of Ecuador 1999, no. 685, art. 6). UVC accounts would maintain their readjustment mechanism and accrue interest rates of 7% for liability operations and 11.4% for asset operations (Republic of Ecuador 1999, no. 685, art. 5).

Sucre-denominated assets of financial institutions that were affected by the moratorium maintained an annual rate of 52%, readjustable every 90 days in proportion to the variation that occurred in the referential passive rate published by the BCE in sucres, dollars, and UVC. Foreign currency-denominated assets maintained a fixed annual rate of 14% and were to be readjusted every 90 days (Republic of Ecuador 1999, no. 685, art. 7).

Bank Restructuring

In consultation with the IMF, World Bank, Inter-American Development Bank (IDB), and Andean Development Corporation (Corporación Andina de Fomento, CAF), the Ecuadorian government devised a new strategy to restructure the banking system with the following goals:

- Establish a legal basis for bank restructuring;
- Strengthen bank solvency;
- Facilitate bank resolution of failed institutions;
- Strengthen prudential regulation and supervision; and
- Restructure the viable bank debts of households and the corporate sector (IMF 2000a, 26).

For more on bank restructuring, see Key Design Decision No. 9, Verification of Solvency.

Dollarization

On January 9, 2000, Ecuador adopted the US dollar as its official currency (Republic of Ecuador 2000c).⁹ To this end, authorities pegged the sucre at ECS 25,000 to the US dollar, withdrew the sucre from circulation, and replaced sucres with US dollars between April and September 2000. By September 2000, this process was largely complete (EIU 2004). In a bond prospectus dated August 23, 2000, the government stated that it expected dollarization to lower inflation, eliminate exchange rate risk, reverse capital flight, and render the economy more transparent to both Ecuadorians and foreign investors (Republic of Ecuador 2000c).

Dollarization limited the BCE's ability to provide liquidity support to the banking system (BCE 2000; Beckerman 2006; Republic of Ecuador 2000c). Therefore, the government began

⁹ The Ecuadorian Constitution forbade the outright elimination of the sucre, so the sucre remained as a fractional currency (EIU 2004; Republic of Ecuador 2000c).

to develop a mechanism to recycle liquidity within the banking system: the sale of USD-denominated bonds combined with repo operations, together with a BCE liquidity support facility (Beckerman 2006; Republic of Ecuador 2000a; Republic of Ecuador 2000c). Because the BCE's capacity to provide liquidity support was limited, the CAF lent USD 70 million to establish a liquidity support fund. Banks had to place 1% of their deposit base with the liquidity support fund, which functioned as a supplemental reserve requirement on top of their conventional 8% reserve requirement for all deposits (Beckerman 2006).

International Support

As early as March 1999, the financial press reported that the IMF had been in negotiations with Ecuador to arrange a standby credit facility (Alvaro 1999b; Alvaro and Tedesco 1999). However, reporters characterized progress as "slow" because of legislative opposition to President Mahuad's attempts to reduce Ecuador's fiscal deficit to 3.5% of GDP through tax and cost-cutting measures. The IMF reportedly supported the need for deposit insurance but opposed bailing out bank shareholders, as Ecuador had done in the past (Alvaro and Tedesco 1999).

On April 19, 2000, the IMF approved a one-year standby arrangement with Ecuador for 226.7 million Special Drawing Rights (SDR) (USD 170 million) (IMF 2000a; Republic of Ecuador 2000a; Republic of Ecuador 2000c).¹⁰ This allowed Ecuador to receive additional funding from the World Bank, the IDB, and the CAF. Disbursements through June 30, 2000, exceeded USD 193.3 million, and commitments through December 31, 2000, exceeded USD 719 million (Republic of Ecuador 2000c).

- 3. Legal Authority: The bank superintendent declared the bank holiday pursuant to its existing authority. The president then declared a state of mobilization under the National Security law that gave him control over all the banks and financial institutions. The Constitutional Tribunal later declared the account freezes unconstitutional.**

Ecuadorian Legal Authority

The Political Constitution of the Republic of Ecuador was passed on August 11, 1998, seven months before the broad-based bank holiday (National Congress of Ecuador 1998a). Ecuador's constitution specified that the Superintendency of Banks is a technical and autonomous office created to supervise the operations of credit institutions and banks (National Congress of Ecuador 1946, art. 151; 1998a, art. 222). We could not definitively confirm that the constitution was the basis for the bank superintendent's announcement of the bank holiday, on March 8, 1999, but it appears most likely that it or related regulations were.

Passed in 1979, National Security Law No. 275/79 gave the president the power to declare a state of mobilization "that [allowed] the transformation or transition from peacetime organization and activities to wartime organization and activities or other national

¹⁰ According to the IMF, USD 1 = SDR 0.75 on April 19, 2000.

emergencies” (National Congress of Ecuador 1979, tit. 2). Articles 54 and 55 specify that the president may mobilize all resources, including economic institutions, in pursuit of national mobilization (National Congress of Ecuador 1979, arts. 54–55). On the basis of this authority, President Mahuad and his administration gained control over the nation’s banks and financial institutions and then issued further decrees that implemented the bank holiday, withdrawal restrictions, moratorium, and related measures (CFN 2007).

On March 11, 1999, President Mahuad issued Executive Decree No. 685:

The following are declared to be in a state of mobilization: Public and private financial institutions, off shore entities, branches and agencies of international financial institutions operating in Ecuador, companies that administers bank accounts, commercial leasing companies, commercial trusts, and credit card issuers and administrators, as well as natural or legal persons that maintain as of the date of issuance or credits with them. (CFN 2007, 5–6)

Within Executive Decree No. 685, articles 2 and 3 provided for the deposit freeze, and articles 3(f) and 7 provided for the debt moratorium (Republic of Ecuador 1999, no. 685, arts. 2-3, 7). Additionally, article 8 provided for the issuance of CDRs at the request of depositors (Republic of Ecuador 1999, no. 685, arts. 8).

To fulfill Executive Decree No. 685 by the president, the finance minister issued complementary Regulations No. 014 and 015 in March 1999 (Republic of Ecuador 1999, nos. 014–015). Regulation No. 014 allowed the Superintendency of Banks to appoint auditors to review the financial system (see Key Design Decision No. 9, Verification of Solvency) (Republic of Ecuador 1999, no. 014, art. 1). Additionally, this regulation allowed fund managers and investment trusts to issue CDRs (Republic of Ecuador 1999, no. 014, art. 11).

Through further decrees, the government gradually unfroze deposits in 1999 (see Key Design Decision No. 8, Treatment of Depositors or Investors) (BCE 2000).

In February 2014, the National Congress passed the Banking Crisis Closure Law of 1999, which the president signed into effect (BCE 2014; National Congress of Ecuador 2014). The law purported to “definitively” end the 1998–99 crisis by transferring assets that the BCE acquired during the crisis (via purchase and assumption of banks) to public institutions that could pay remaining public and private liability holders (National Congress of Ecuador 2014, arts. 3, 9). Article 9 authorized a one-time payment of up to USD 75,000 in cash to private depositors (National Congress of Ecuador 2014, art. 9). Once these liabilities were met, article 10 authorized remaining funds to be paid to public liability holders up to the amount of their respective claims (National Congress of Ecuador 2014, art. 10). Payments to private and public liability holders had to occur within one year of the law’s passage (National Congress of Ecuador 2014, arts. 9, 10).

Ecuadorian Constitutionality

The Constitutional Tribunal declared the account freezes unconstitutional in November 1999. In early 2000, the government issued a resolution that scheduled the unfreezing of accounts (CFN 2007; Republic of Ecuador 2000c).

In February 2000, the government extended the unfreezing schedule through a resolution signed by the finance minister, bank superintendent, BCE president of the board of directors, and the AGD general manager. This resolution also allowed the repayment of deposits in both cash and bonds (Republic of Ecuador 2000c). For a schedule of unfrozen deposits, see Key Design Decision No. 8, Treatment of Depositors or Investors.

IMF Article VIII Approval

Per the IMF Articles of Agreement, article VIII, section 2(a), Ecuador had to obtain IMF approval for the 1999 partial deposit freeze, because this action could have affected transfers of balances due related to current international transactions, such as remittance of interest abroad on bank deposits held by nonresidents. The IMF granted approval, because Ecuadorian authorities stated their intention to soon eliminate the exchange restriction. The IMF authorization would last until September 1, 2001, or the conclusion of the next article IV consultation with Ecuador, whichever came first (IMF 2000a).

- 4. Administration: The president and his administration, rather than the BCE, made decisions regarding the bank holiday and withdrawal restrictions. The bank superintendent announced the holiday, the president and finance minister announced the partial freeze, and the AGD paid out frozen deposits.**

President Mahuad and his executive officials—the finance minister and the bank superintendent—made decisions without the BCE and seemingly overrode the central bank in the process. The BCE governor and board had preferred a different policy intervention and resigned en masse in protest of the partial freeze (see Summary Evaluation) (Alvaro and Tedesco 1999; Republic of Ecuador 2000c). At the start, the bank superintendent announced the bank holiday on March 8, 1999 (AP 1999; Superintendency of Banks n.d.). News reports say that the president and finance minister extended the holiday multiple times such that banks did not reopen until March 15, 1999 (Catan and Alvaro 1999; Dow Jones 1999c; IMF 2000a). The newly created AGD—which was in charge of deposit insurance and bank resolution—paid out unfrozen deposits as they were liberated over a protracted time period after the initial announcement of the holiday and partial freeze in March 1999 (see Key Design Decision No. 11, Exit Strategy) (Decker 2022; Dow Jones 2000; Republic of Ecuador 2000c).

The Superintendency of Banks was Ecuador's main regulator responsible for capital adequacy, solvency, and risk asset quality of financial institutions (Republic of Ecuador 2000c; Superintendency of Banks n.d.). As of August 2000, the Superintendency was led by

the Banking Board,¹¹ which was composed of five members: the bank superintendent, the general manager of the BCE, two members appointed by the Monetary Board, and one member appointed by the other four members of the Banking Board. The Monetary Board could authorize certain loans to help the liquidity of a private bank (Republic of Ecuador 2000c).

5. Governance: The president, bank superintendent, and finance minister announced the bank holiday, partial deposit freeze, and moratorium, despite objections from BCE officials who resigned in protest.

The bank superintendent announced the bank holiday, despite objections from the BCE board (but with support of the president) (AP 1999; Dow Jones 1999c; Republic of Ecuador 2000c). In fact, the BCE president and board of directors resigned in protest to these measures (Alvaro and Tedesco 1999; Republic of Ecuador 2000c). The president and finance minister extended the holiday and then imposed withdrawal restrictions on deposits when the banks reopened on March 15, 1999 (BBC 1999a).

The BCE board comprised five members appointed by the president of Ecuador with majority approval from the National Congress (National Congress of Ecuador 1998a, art. 262). Board members served terms of six years with partial renewal every three years (National Congress of Ecuador 1998a, art. 262).

On January 22, 2000, a military coup overthrew President Mahuad and his administration; Mahuad's vice president, Gustavo Noboa, assumed power as president. Though the bank holiday had ended, the coup occurred during Ecuador's blanket guarantee and protracted unfreezing of deposits (see Key Design Decision No. 11, Exit Strategy) (Decker 2022; Scrutton 2000). Mahuad subsequently fled to the United States (BBC 2014). In May 2014, a court in Ecuador sentenced Mahuad in absentia to 12 years in jail for his involvement in the bank holiday and partial deposit freeze; Interpol issued an arrest warrant. Mahuad said these charges were politically motivated (BBC 2014).

6. Communication and Disclosure: The bank superintendent made a surprise announcement of the holiday on television one hour before opening, and the partial deposit freeze was announced several days before the banks reopened. Government officials justified the state of national emergency with their concerns about economic and social turmoil.

As early as March 4, 1999, the financial press had reported that the BCE "categorically denied market reports that it was considering freezing dollar deposit [sic] to help the sucre" (Newsome 1999). However, on March 8, 1999, Bank Superintendent Jorge Egas declared a surprise bank holiday on broadcast television one hour before banks were supposed to open to "preserve the stability of bank reserves, limit withdrawals that could [affect] the domestic

¹¹ The Banking Board is not mentioned in the Political Constitution of 1998, but authorities reference the Banking Board in a bond prospectus dated August 2000; the Banking Board is also referenced in the 1994 Financial Institutions Law (National Congress of Ecuador 1998a; Republic of Ecuador 2000c).

financial system, and avoid pressure on the currency and the continued rise in prices” (AP 1999; Dow Jones 1999c, 1).

On March 10, President Mahuad also declared a state of national emergency for 60 days to address the economic and social turmoil (Dow Jones 1999c).

The president of the private banks’ association, Carlos Larreátegui, spoke to the press and said: “Confidence has been seriously weakened by the closure. The government has lost control of the country” (Newsome and Lapper 1999a).

During the one-week bank holiday, rumors swirled that the government was also considering a continued deposit freeze after the holiday ended (Catan and Alvaro 1999). On March 11, the president and finance minister announced that withdrawal freezes would apply when the holiday was lifted on the following Monday, March 15, 1999 (BBC 1999a).

After the announcement of the partial freeze on March 11, eight private banks asked the government for guarantees before they reopened on the following Monday, according to Dow Jones (Deveney 1999; Dow Jones 1999d).

On March 11, 1999, President Mahuad publicly addressed the nation with his reasoning for the holiday and partial freeze:

With the nervousness currently experienced in Ecuador [sic] may cause people to withdraw their money needlessly. People may rush to change their sucres for dollars and raise prices speculatively. For the country’s best interest we have to avoid that. What would happen if due to nervousness many people rush to the banks to withdraw their savings? First, they would have to take their money home with the great danger of crime. And if everyone rushes to withdraw their funds, the banks even the strongest ones would have to face a problem and this would hike the price of the dollar, who knows to what levels. This is not good for Ecuador.

I am speaking about protecting the bank holders, you, keep you from losing your savings, to impede a decrease in the value of the sucre, a hyperinflation. The government will never seize or confiscate anybody’s accounts. We have to protect our international money reserve. That reserve belongs to all Ecuadorians. That is why we have designed a system that will become effective in the upcoming days (BBC 1999a).

In the same speech, President Mahuad further explained the details of the partial deposit freeze and noted that depositors could obtain CDRs, which were negotiable claims on their respective accounts that depositors could use for certain transactions (see Key Design Decision No. 8, Treatment of Depositors or Investors) (BBC 1999a; Beckerman and Solimano 2002, 56; Jácome H. 2004).

On March 30, 1999, Finance Minister Ana Lucía Armijos gave a televised interview and said that “the government [was] heading towards a more relaxed stance on the deposit freeze, but the time [was not] right yet—the relaxation [would be] done in a very detailed fashion and when [it was] deemed ripe to generate credibility” (Dow Jones 1999f).

According to the IMF, the government achieved a temporary resurgence in public confidence in the banking system when it announced the results of systemwide bank solvency verification audits conducted by international firms and next steps on July 30, 1999 (see Key Design Decision No. 9, Verification of Solvency). Confidence fell again in September 1999 when Ecuador defaulted on its Brady bonds. Additional capital flight and further withdrawal of foreign credit renewed liquidity pressure (IMF 2000b).

7. Details of Holidays, Suspensions, or Gates: The bank holiday began on March 8 and ended on March 15, 1999. Immediately following the holiday, the government froze different types of deposits (demand, savings, time), repo transactions, mutual funds, and investment trusts for one year.

During the holiday, all banks were entirely closed (IMF 2000a, 10; Republic of Ecuador 2000c, 58). Retail and institutional customers had no access to their funds, and trading in the sucre was suspended (see Key Design Decision No. 11, Exit Strategy) (Dow Jones 1999a).

After the holiday ended, the government froze the following accounts:

- For 365 days: 50% of demand deposits in sucres in public and private financial institutions operating in Ecuador, including branches of foreign financial institutions, if the account contained greater than ECS 2 million as of the date of the decree (deposits up to ECS 2 million were exempted);
- For 365 days, 50% of demand deposits in foreign currency in public and private institutions operating in Ecuador, including branches of foreign financial institutions and offshore branches of Ecuadorian institutions, if the account contained greater than USD 500 as of the date of the decree (deposits up to USD 500 were exempted);
- For 365 days, 50% of savings deposits in sucres and UVC as well as 100% of foreign currency savings deposits in national financial institutions, including their offshore branches, if the account contained more than ECS 5 million or USD 500 as of the date of the decree (deposits up to ECS 5 million and USD 500 respectively were exempted);
- For 365 days, 100% of repo transactions and time deposits in sucres, UVC, or foreign currency in financial institutions operating in Ecuador, including offshore branches of Ecuadorian institutions and the offshore branches of foreign institutions;
- For 366 days, 100% of deposits in sucres, UVC, or foreign currency made by leasing companies, credit card issuers, or administrators as of their original maturity date (Republic of Ecuador 1999, no. 685, art. 3).

New demand deposits and time deposits in sucres, UVC, or foreign currency made as of March 15, 1999, in any financial institution or fund administrator were not subject to the freeze (Republic of Ecuador 1999, no. 685, art. 14).

Local Ecuadorian outlets reported that under the partial freeze, the government froze nearly USD 750 million in checking and savings accounts, including ECS 4 trillion in sucre accounts (roughly USD 400 million at the time) and USD 350 million in US dollar accounts (Quito Voz de los Andes 1999a). According to an Ecuadorian government document dated April 2000, the total amount of frozen term deposits was USD 2.2 billion, including USD 1 billion at banks that were in resolution with the AGD at that time and USD at open banks (Republic of Ecuador 2000a).

For the complementary debt moratorium, see Key Design Decision No. 2, Part of a Package.

- 8. Treatment of Depositors or Investors: Depositors could request certificates of reprogrammable deposits against their frozen accounts, which they could sell or use to settle some accounts. Although the government originally froze most account balances for one year, the government released most types of deposits earlier, except time deposits and mutual fund shares, through a series of decrees between late March and July 1999.**

Certificates of Reprogrammable Deposits

Depositors could request from their banks and investment funds claims on their respective accounts called CDRs (Republic of Ecuador 1999, nos. 685, 014). Depositors could hold CDRs until they expired (in other words, until the government unfroze the underlying deposit); alternatively, depositors could sell their CDRs at a negotiated price, including on the stock exchange, since CDRs were transferrable to another party by endorsement (BBC 1999a; Beckerman and Solimano 2002; Jácome H. 2004; Republic of Ecuador 1999, no. 685, no. 8).

CDRs were issued by the bank or investment fund and, as a result, had different discounts according to market perception about the financial strength of each bank or fund (BBC 1999a; Beckerman and Solimano 2002; Jácome H. 2004). The government decree also permitted CDR holders to use CDRs to service bank loans at par and buy durable consumer goods and real estate (Beckerman and Solimano 2002; Jácome H. 2004).

A government decree in November 1999 forced banks to accept CDRs as payments of credits at face value, up to the amount of credit lines granted to each bank by the National Financial Corporation (CFN), a public development bank (IMF 2000b, 31). Many depositors who needed cash sold their CDRs at a discount to bank borrowers, who then used the CDRs to pay back their debt in full (El Telégrafo 2017). According to the IMF, the November 1999 decree negatively impacted banks' liquidity and portfolio structure and also led to "the technical bankruptcy of the CFN" (IMF 2000b, 31). Guido Macas of Ecotec University told an Ecuadorian outlet that "CFN became the dumping ground for the CDRs"; since not all CDRs were collectible from the banks that issued them, the CFN's delinquencies rose and liquidity fell (El Telégrafo 2017).

Unfreezing Schedule

The terms of the partial freeze on deposit withdrawals favored those with small accounts (BBC 1999a), President Mahuad said: “Those who have up to [ECS 2 million] may withdraw all their money. They are the smallest, the neediest” (BBC 1999a, 3).

Merely weeks after announcing the partial freeze, the government began to unfreeze deposits in phases, which alleviated pressure on the banks to meet withdrawal demand (see Figure 2) (BCE 2000; Beckerman 2006). The first phase liberalized deposits of specific target groups: insurance entities, the elderly, those affected by medical emergencies, savings and credit cooperatives, international agencies, and diplomatic missions. During the second phase, the government sought to liberalize the most liquid operations to gradually revitalize productive activities and financial intermediation (BCE 2000).

For the extended unfreezing of time deposits and mutual fund shares, see Key Design Decision No. 11, Exit Strategy.

Figure 2: Ecuador’s Unfreezing Schedule, Late July–Mid-July 1999

Date	Decree No.	Unfreezing Details
March 26, 1999	748	Unfroze savings deposits in sucres for housing.
April 1, 1999	770	- Reduced the maturities of monetary and savings deposits. - Partially unfroze time deposits for nonprofits. - Allowed the possibility liberalized resources in the case of medical emergencies.
April 22, 1999	824	- Unfroze all deposits in checking and savings accounts of savings cooperatives, credit cooperatives, and citizens over 65 years old. - Partially unfroze rescheduled term deposits of savings and credit cooperatives. - Exempted from the freeze operations carried out by accredited diplomats.
July 5, 1999	1,049	Fund and trust administrators: - Cancelled the 365-day moratorium on investments whose maturity date had not been met as of July 5, 1999 (see Key Design Decision No. 2, Part of a Package). - For investment already rescheduled, a monthly fee of 14.3% was established for the principal starting on September 1, 1999.
July 19, 1999	1,089	- Partial refund of rescheduled deposits in checking and savings accounts through a schedule that ended on October 27, 1999. - Total refund of monetary deposits and deposits in savings accounts in sucres for nonprofit legal entities.

Source: BCE 2000.

9. Verification of Solvency: Authorities hired international auditors to review the solvency of all financial institutions and classify them according to a three-tier

structure. The government published the audit results and closed 14 financial institutions, wiping out their equity holders.

Solvency Verification Reforms Before the Holiday and Partial Freeze

Before the reforms in December 1998, financial institutions had to meet capital requirements within a certain timeframe or face liquidation:

- Financial institutions with capital deficiencies of less than 50% of total assets had to meet requirements within 90 days;
- Financial institutions with capital deficiencies greater than 50% of total assets had to meet requirements within 30 days (Republic of Ecuador 2000c).

With the December 1998 reforms, the Banking Board determined the solvency and viability of each financial institution; the Banking Board transferred insolvent institutions to the AGD. Depending on viability, a financial institution could

- enter restructuring where it remained operational;
- enter a clearing process where closure was possible; or
- face closure.

For closures, the AGD could choose to

- sell or transfer assets and liabilities;
- recapitalize the institution; or
- pay the guaranteed deposits in cash (Republic of Ecuador 2000c).

New Solvency Verification Announced with the Holiday and Partial Freeze

During his announcement of the bank holiday on March 11, 1999, President Mahuad said that the government would hire international firms to audit the banks and determine their true capital adequacy (Beckerman and Solimano 2002; Republic of Ecuador 2000a). To this end, on May 6, 1999, the AGD hired four auditors to conduct independent audits of the entire banking system. These auditors delivered their results to the respective bank boards and to the AGD in June 1999, and the government publicized the auditors' recommendations (Republic of Ecuador 2000a; Republic of Ecuador 2000c). Based on these results, banks were sorted into three categories: capital compliant ("A"), capital deficient ("B"), and negative net worth ("C"). On July 30, 1999, the government publicly announced the results of this audit and next steps: "A" banks remained under private control; "B" banks remained operational and underwent a restructuring process; the AGD immediately took over and resolved "C" banks (IMF 2000b, 28; Republic of Ecuador 2000c, 56). For financial institutions that closed (for example, "C" banks), the AGD could sell or transfer the institution's assets and liabilities,

recapitalize the institution, or pay the guaranteed deposits in cash (Republic of Ecuador 2000c).

Revised Solvency Verification After the Holiday and Partial Freeze

Starting in March 2000, the Banking Board reviewed financial institutions whose solvency indexes fell below 9%. These financial institutions entered a regularization program set by the Banking Board to recapitalize and reach a 9% solvency index within 60 days. These financial institutions also had to create a trust with all their shares for the benefit of the AGD. If an institution failed to reach its target, the trust was terminated and the AGD thus owned the institution. The Banking Board then became responsible to ensure that deposits were secured by a financial institution's assets as best as possible (Republic of Ecuador 2000c).

As of April 2000, the AGD had intervened or closed 14 financial institutions (wiping out equity holders), including the two largest banks, comprising 65% of onshore assets in the financial system, and the owners lost their equity in these 14 institutions (Republic of Ecuador 2000a).

10. Other Conditions: Research did not uncover other conditions.

Research did not uncover other conditions.

11. Exit Strategy: The bank holiday lasted from March 8 to March 15, 1999, with the government imposing partial freezes on accounts to stabilize the reopened banks, but runs continued and destabilization persisted.

Bank Holiday

The bank holiday began on March 8, and banks reopened on March 15, 1999 (BBC 1999a; IMF 2000a). After the bank holiday, the sucre resumed trading on March 15 at a level that was 34% higher against the US dollar than its close on March 5 (Dow Jones 1999a). By Friday, March 19, 1999, the financial press characterized the sucre as "broadly stable" (see Figure 3) (Reuters 1999b).

Figure 3: Sucre Trading Against the US Dollar, March 1999

Date	Interbank Mid-Rate, ECS per USD	Spread, ECS per USD
March 5, 1999	ECS 12,650	ECS 12,300 – ECS 13,000
March 15, 1999	ECS 9,450	ECS 9,200 – ECS 9,700
March 19, 1999	ECS 10,400	ECS 10,150 – ECS 10,650

Sources: Dow Jones 1999a; Reuters 1999b.

Partial Deposit Freeze

Ecuadorian authorities said they faced political and social pressure to accelerate the scheduled unfreezing of deposits from May to November 1999 (IMF 2000b).

By the end of 1999, the government had unfrozen virtually all checking and savings deposits (BCE 2000; Beckerman 2006). Mutual fund investors and time deposits were due to unfreeze beginning in mid-March 2000 (Beckerman and Solimano 2002; IMF 2000b). However, authorities worried that they would have to prolong the freeze on time deposits because banks did not have enough liquid assets to meet expected withdrawals (Beckerman 2006; Beckerman and Solimano 2002).

Ecuadorian authorities considered some options to mitigate bank's expected liquidity issues when time deposits began to unfreeze in mid-March 2000 (Beckerman and Solimano 2002; IMF 2000b).

For one consideration, on March 13, 2000, authorities said that time deposits would be unfrozen one year after each time deposit's original maturity date up to USD 4,000 in cash; if the time deposit was greater than USD 4,000, the rest would be made available in Ecuadorian Treasury bonds (three to seven years maturity) which banks would purchase against their own promissory notes to the Treasury (Beckerman and Solimano 2002; IMF 2000b; Republic of Ecuador 2000b). However, the state prosecutor objected to the use of Treasury bonds, so authorities instead applied a scheme under which depositors in excess of USD 4,000 would receive long-term bank obligations (Beckerman and Solimano 2002; Jácome H. 2004).

Another consideration was that banks also convinced some depositors to open new accounts instead of withdrawing during the unfreezing period. Some economists hypothesize that depositors were willing to refrain from withdrawing because of dollarization and the elimination of exchange rate concerns. Additionally, these economists note that the IMF, World Bank, IDB and CAF announced a USD 2 billion package to Ecuador in a joint statement at the time of unfreezing (Beckerman and Solimano 2002).

In March 2000, the government decided to require banks to pay all depositors in only cash, and mutual fund holdings in cash in proportion to a fund's liquidity, according to a bond prospectus by the Republic of Ecuador, dated August 2000 (Republic of Ecuador 2000c).

Ultimately, time depositors in open and closed banks were treated differently: The government required open banks to repay depositors fully in cash, while depositors in closed banks managed by the AGD would be paid mostly in AGD bonds. However, it appears that some depositors received bonds from banks before the government made the cash-only ruling (IMF 2000a; Republic of Ecuador 2000a). Figure 4 shows the schedule for unfreezing time deposits in open and closed banks, starting in March 2000.

Figure 4: Schedule for Unfreezing Deposits in Ecuador's Open and Closed Banks, Starting in March 2000 (USD millions)

	Mar-00	Apr-00	May-00	Jun-00	Jul-00	Aug-00	Sep-00	Oct-00	Nov-00	Dec-00	After-00
Unfreezing of Time Deposits in Open Banks (Onshore and Offshore)											
Total Time Deposits	372.5	276.6	173.8	101.0	103.0	79.3	50.5	5.6	5.6	5.6	27.6
Cash Unfrozen	63.0	61.7	31.0	18.3	22.7	14.9	9.5	3.9	3.9	3.9	19.3
Payment of Deposit Guarantee in AGD Closed Banks (Onshore and Offshore)											
Total Guar. Deposits	12.5	268.7	195.3	132.2	82.5	82.0	67.6	48.3	16.5	6.8	11.3
Cash Unfrozen	12.5	14.3	14.2	14.3	14.2	14.3	14.3	14.3	14.3	14.3	0
Bonds Unfrozen	254.4	181.1	117.9	68.3	67.6	53.4	34.0	2.3	2.3	2.3	11.3

Source: Republic of Ecuador 2000a.

In April 2000, the government sent its schedule for repaying term depositors to the IMF. At that time, the total amount of frozen term deposits was USD 2.2 billion, including USD 1 billion at banks that were in resolution with the AGD and USD 1.2 billion at open banks (Republic of Ecuador 2000a). The government reported to the IMF in August 2000 that the unfreezing of time deposits in open banks, which began on March 13, 2000, had proceeded faster than expected: Banks had paid out about USD 560 million of frozen deposits in cash between March and June 2000 (Republic of Ecuador 2000b).

Because the banking system's deposit base increased by the same amount, authorities inferred that most of these liberalized time deposits remained in the banking system (Republic of Ecuador 2000b).

12. Regulatory Changes: Authorities revised supervision and solvency regulations after the bank holiday and partial deposit freeze.

In a letter of intent to the IMF in April 2000, Ecuadorian authorities indicated that they were strengthening supervision by the Superintendency of Banks to include:

- Revised organizational structure for better regional and departmental coordination;
- Improved offsite supervision with a plan to identify "at risk" banks to be placed under intensive monitoring;
- Staff training for offsite supervision and risk analysis;
- Review of staffing needs;
- A new sequence of phased and intensified supervisory action for regulatory noncompliance;

- Bilateral agreements with foreign authorities to share supervisory information; and
- Better integration of consolidated supervision, onsite inspection, and Basel core principles. Authorities also said that banks would be required to publish certain financial indicators (consistent with best international practice) on a quarterly basis to be more accountable to creditors. Special purpose public banks would undergo independent audits (Republic of Ecuador 2000a).

Specifically on bank solvency, Ecuadorian authorities said they intended to revise requirements for loan classification, loss provisioning, and interest suspension (see Figure 5) (Republic of Ecuador 2000a).

Figure 5: Proposal of Revised Regulations in Ecuador

III. Strengthen solvency of banks based on best international practices	a. Revise requirements for loan classification, loss provisioning, and interest suspension to conform with best international practices. Provisioning requirements should be as a minimum:					
	Category	A	B	C	D	E
		1 percent	3 percent	20 percent	50 percent	100 percent
	Compliance with provisioning requirements will be phase-in over two years, starting at a minimum of 50 percent of required levels.					March 31, 2000.
	(i) Approval					June 30, 2000
	(ii)Implementation					Performance criterion.
	b. Revise loan classification and loss provision requirements of restructured loans so that a restructured loan cannot be reclassified to a better credit risk category prior to establishing a track record of at least three payments or six months.					Announcement by March 31, 2000.
						Implementation by June 30, 2000
						Performance criterion.
	c. Undertake intensified on-site examination focussing on the loan portfolio of commercial banks with priority given to larger and weaker banks. Cover banks with:					
	(i) All large and weak banks (representing at least 50 percent of banking system assets)					December 31, 2000
	(ii) 100 percent of banking system assets					March 31, 2001
	d. Redefine rules for composition of capital in accordance with Basle standards. Rules will be implemented gradually during one year.					Approval by September 30, 2000.
						Implementations will start by December 31, 2000
						Performance criterion

Source: Republic of Ecuador 2000a.

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